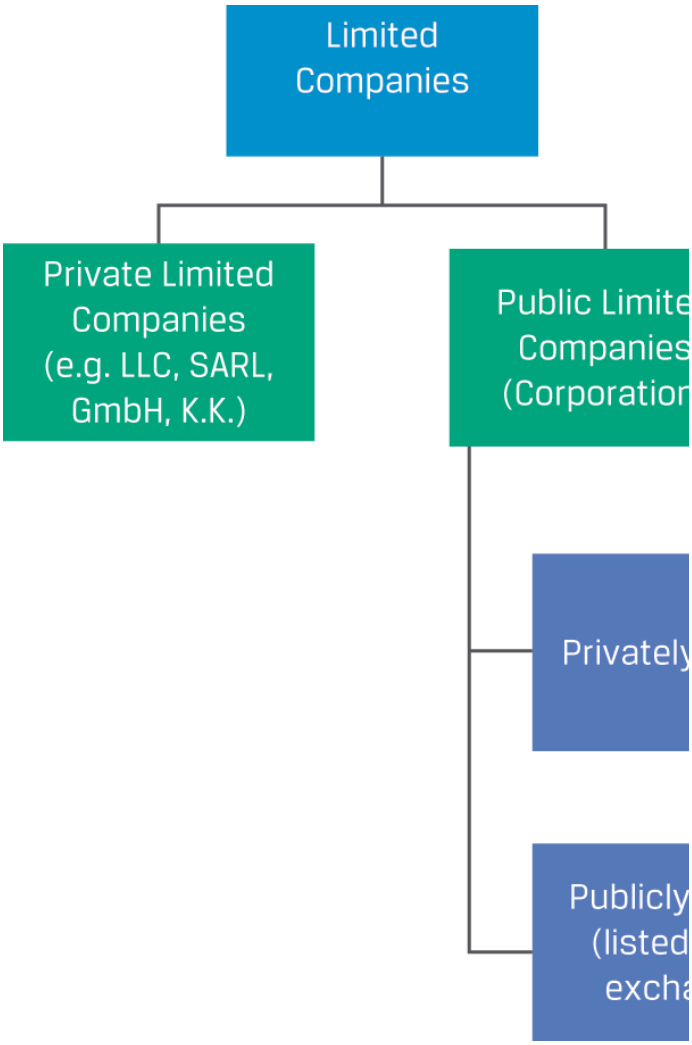
PUBLICLY VS. PRIVATELY OWNED CORPORATE ISSUERS

Learning Outcome

- compare publicly and privately owned corporate issuers

For corporations, “public” and “private” (or “listed” and “unlisted”) are often defined by whether the company’s shares are listed and tradeable on an **exchange**. Somewhat confusingly, this is different from the discussion of private and public limited companies in an earlier lesson; most public or listed companies are public limited companies, but public limited companies are not obliged to list their shares on an exchange.

Exhibit 10: Publicly vs. Privately Owned Limited Companies



An exchange, which for equities is referred to as a **stock exchange**, is a rules-based, open access market venue where financial instruments are traded, with price and volume transparency accessible by issuers, investors, and their intermediaries. In addition to an exchange listing, primary features distinguishing public and private companies include

- the ability to transfer ownership between investors,
- the process of issuing new shares, and
- registration and disclosure requirements.

A **public (listed) company** has some or all of its shares listed and traded on an exchange. These shares may be widely held or involve a majority or controlling owner. Shareholders may include individuals, employees, institutions on behalf of individuals (e.g., pension funds), other corporations, governments, and non-profits. The shares that are traded actively—and thus are not held by insiders, strategic investors, or sponsors but are more freely available on exchanges—are known as an issuer's **free float**. Free float is often expressed as a percentage of total shares outstanding.

EXAMPLE 4

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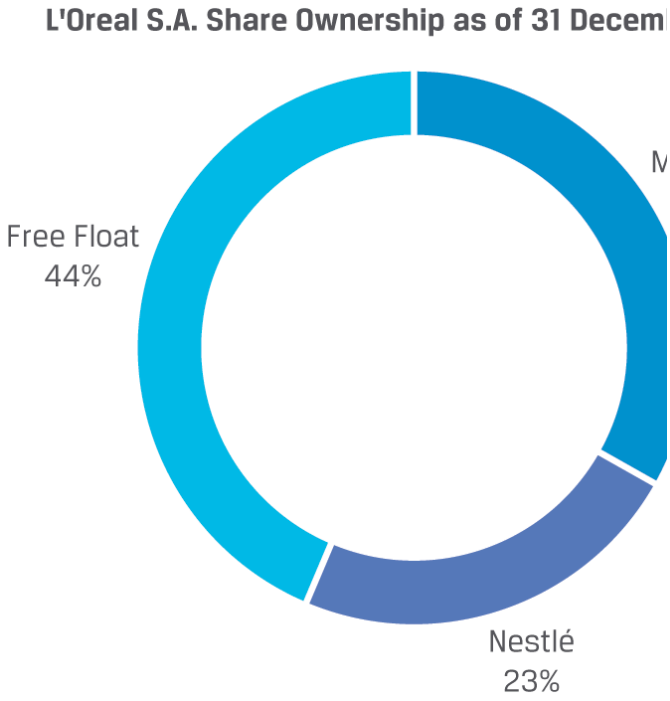
société anonyme, or public limited company. It has been public since listing its shares on the Paris Stock Market (now Euronext) in 1963. As of 31 December 2021, L'Oréal had approximately 535 million shares outstanding.

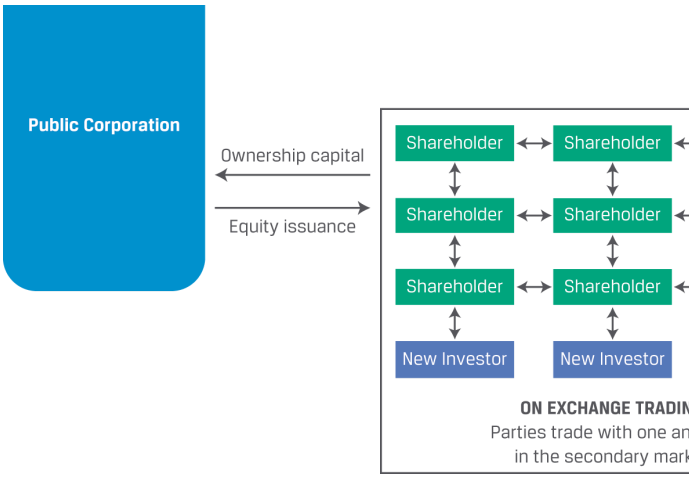
L'Oréal's shares are mostly owned by Francoise Bettencourt Meyers, her family, and Nestlé (a large, listed Swiss consumer goods company), and the remainder—the free float, approximately 44% of shares—is owned by institutional investors, individual investors, and L'Oréal employees.



Exchange Listing, Liquidity, and Price Transparency

An exchange listing allows ownership to be more easily transferred because investors transact directly with one another in the secondary market on the exchange. An investor can become a shareholder in a public company by executing a buy order in a brokerage account or reduce an ownership position by executing a sell order. This can be done immediately for a relatively small number of shares in a liquid stock or take longer for many shares in a company whose shares trade infrequently. An exchange listing provides share price transparency, allowing investors to track how a company's value changes.

Exhibit 11: Public Companies—Share Ownership Transfer



In contrast, the shares of a **private company** are not listed (do not trade on an exchange), so no visible company valuation or share price transparency exists. This makes ownership transfer between investors far more difficult than for a public company. A private company shareholder seeking to sell shares must find a willing buyer, and the two parties must negotiate a price. Even then, the company may refuse the transfer of ownership. Private company shareholders must exercise patience. Their investment is usually locked up until the company is acquired for cash or shares by another company or it goes public.

Private companies do, however, provide benefits that may outweigh the downside of limited transferability of shares. Private companies typically have fewer shareholders, meaning that controlling owners and management are accountable to fewer stakeholders. Second, many early-stage companies are private. If successful, an investor in their equity could earn high returns. Finally, private companies have few disclosure requirements, which are costly to comply with, and there are few regulations and costs associated with raising financing in private transactions. While some claim that private status results in improved performance from greater focus on the long term, as opposed to focusing on quarterly earnings and other short-term measures associated with listed companies, the empirical evidence for short-termism among listed companies is thin at best.[1]

Share Issuance

Corporate issuers may issue additional equity shares in the capital markets from time to time. For a public issuer, these shares can be traded in the secondary market once they're issued. In contrast, private companies finance smaller amounts in the primary market (private debt or equity) from fewer investors who typically have longer holding periods. Exhibit 12 and Exhibit 13 illustrate differences in public and private company share issuance and relative size of financing.

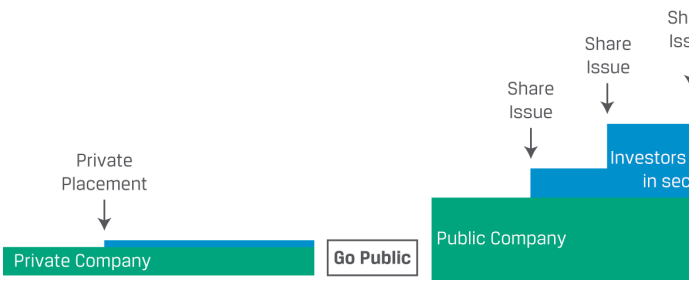


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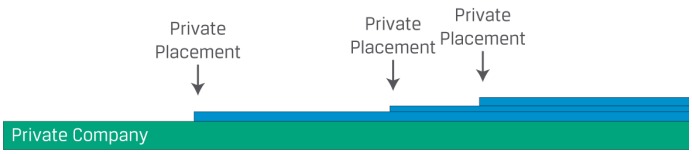
Exhibit 13: Private Companies Share Issuance and Financing Access



Private company investors are typically invited to purchase shares in the company through a **private placement** whose terms are outlined in a legal document (public companies can also conduct private placements, subject to regulatory constraints). Private company investors may be limited to qualified or so-called **accredited investors** or **sophisticated investors**, or those deemed to be able and willing by regulatory authorities to assume the greater risk of a non-public offering.

Registration and Disclosure Requirements

Perhaps the defining attribute of public companies is transparency and disclosure. Public companies must register with a regulatory authority and are subject to compliance and reporting requirements. For example, companies with securities listed on US exchanges (e.g., NYSE and NASDAQ) must file audited financial statements and other information on a quarterly basis with the Securities and Exchange Commission (SEC), which are then accessible to the public on the SEC's EDGAR (Electronic Data Gathering, Analysis, and Retrieval) system or on the company's website. In the European Union, financial statements must be reported in the EU's standardized ESEF (European Single Electronic Format) in the registry of domicile, at least semiannually. Public companies' annual reports regularly exceed 100 pages.

Besides qualitative information and financial reports, public companies must also disclose major changes in the holding of voting rights and other information that may affect security prices, such as

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investors, such as management's confidence in exceeding expectations or leading to questions about a company's business strategy.

Private companies are generally not subject to the same level of regulatory disclosures, although many rules pertain to both private and public companies (such as prohibitions against fraud and the obligation to file corporate tax returns). While not required, some private firms disclose pertinent information directly to owners as well as lenders, especially if they hope to be able to raise additional financing in the future. Exhibit 14 and Exhibit 15 compare typical entity relationships for public and private companies.

Exhibit 14: Public Companies: Typical Entity Relationships

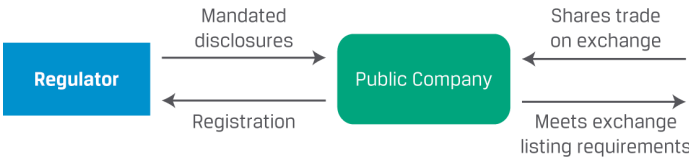
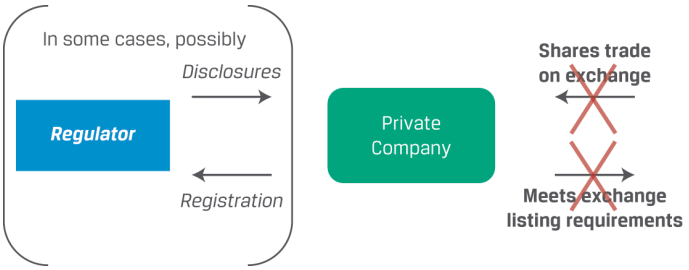


Exhibit 15: Private Companies: Typical Entity Relationships



Knowledge Check

1. Match the applicable company characteristic in the left column with the category that best describes it (publicly held, privately held, both) on the right).

Exchange listed	Publicly held/Privately held/Both
Owner/manager overlaps	Publicly held/Privately held/Both
Registered	Publicly held/Privately held/Both
Share liquidity	Publicly held/Privately held/Both

Negotiated debt and equity sales	Publicly held/Privately held/Both

Show Solution

Going from Private to Public

In the next example, we discuss a company's change from a private company to a public one.

EXAMPLE 5

The Story of Tesla

In 1997, engineer Martin Eberhard and computer scientist Marc Tarpenning started a company called NuvoMedia to make an electronic book reader called the Rocket eBook, a precursor to Amazon's Kindle. Three years after it was founded, NuvoMedia was sold for $187 million.

Soon after, the two entrepreneurs formed a new company focused on making electric sports cars. They named the company Tesla Motors in honor of the inventor Nikola Tesla, forming a corporation in 2003. As a high-risk, capital-intensive endeavor, they used some of their new-found wealth and sought other cofounders with expertise in electric vehicles and fundraising capabilities. Elon Musk, an entrepreneur with a shared vision in the commercialization of electric sports cars, joined the team, as did Ian Wright and J. B. Straubel, the company's chief technical officer.

In addition to investing $6.3 million in Tesla in 2004, making him the largest shareholder, Musk helped raise money from venture capitalists. Musk became CEO in 2008, the year Tesla released its first vehicle, the Roadster. In 2010, Musk led Tesla's initial public offering, which raised $226 million. Over the next several years, Tesla shifted from sports cars to passenger vehicles, greatly expanding its vehicle production and product line, and in 2016, it also entered the photovoltaics market. In 2017, it changed its name from Tesla Motors to Tesla, Inc., to reflect its diversification into energy storage. The company continued global expansion of automobile production, issuing several billion dollars in three secondary equity offerings in 2020. Tesla moved its headquarters from California to Texas and reached a $1 trillion market capitalization in 2021.

The evolution of Tesla, Inc., over less than 20 years of existence from a startup to a firm among those with the largest market capitalization globally was assisted by the flexibility of its organizational form as a corporation. Tesla was able to obtain significant financing from both debt and equity investors and

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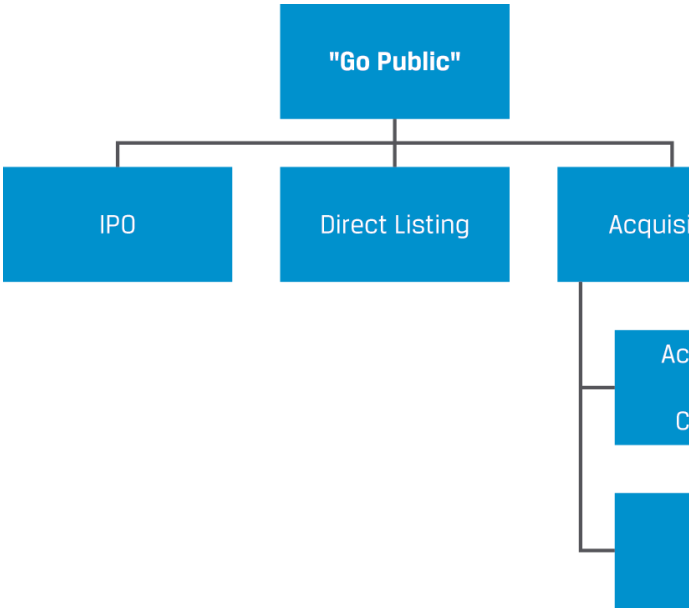
Private companies may become public companies ("go public") in three ways: IPO, direct listing, or acquisition.

Exhibit 16: Three Ways Private Companies Go Public



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Tesla Motors became a public company using an **initial public offering**. To complete an IPO, companies must meet specific exchange listing requirements and usually engage financial intermediaries known as investment banks to underwrite the sale of new shares. Proceeds from the sale of new shares go to the issuing corporation, and its shares begin trading on an exchange.

Private companies can also go public through a far less common method known as a **direct listing**, which differs from an IPO in two important ways. A direct listing does not involve an underwriter and no new shares are issued, so no capital is raised. Instead, the company simply lists existing shares on an exchange at a price determined by the market, and shares become available to the public as they are sold by existing shareholders. Although direct listings, compared with IPOs, may take place more quickly and at a lower cost, they are usually undertaken only by larger, more established companies with a recognized brand, as in the following example.

EXAMPLE 6

In early 2018, Sweden-based music streaming company Spotify Technology SA became the first foreign issuer to go public via direct listing on the New York Stock Exchange (NYSE).

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public. Unlike other private companies seeking to go public, Spotify was a well-known brand and an established company, having entered the US market in 2011, with over 70 million global subscribers and over $5 billion in revenue during the prior year. When announcing its direct listing, Spotify said it chose this financing route because it could list without diluting existing shareholders, offer liquidity to existing shareholders, and provide equal access to buyers and sellers.

Alternatively, a private company may become public via an acquisition. This may occur indirectly if the company is acquired by another that is already public. In such cases, the acquiring company is usually larger, so an investor in the combined entity has minimal exposure to the private company that was acquired.

Another means of going public via acquisition is through a **special purpose acquisition company**, which is a transaction like the reverse merger that was popular in the 1990s and early 2000s. A SPAC is a shell company, often called a “blank check” company, that exists solely for the purpose of acquiring an unspecified private company sometime in the future. SPACs raise capital and go public through an IPO. Proceeds are placed in a trust account and can be disbursed only to complete an acquisition; otherwise, they must be returned to investors. SPACs are publicly listed, often specialize in a particular industry, and have a finite time period, such as 18 months, to acquire a private company before proceeds are returned to investors. While investors in a SPAC may not know which private company the SPAC will buy, they may have expectations based on the SPAC executives involved or comments these individuals have made in the media.

Once the SPAC completes the purchase of a private company, that company becomes public. SPACs are replacing the formerly used reverse merger process of going public, which typically used a dormant listed company with a previous business and trading history.

Knowledge Check

1. Match the method by which a private company can go public with the most closely related term.

   Going Public Method:

IPO	“blank check,” existing shareholder, underwriter
Direct listing	“blank check,” existing shareholder, underwriter

Show Solution

2. True or false: Accredited investors are the capital providers qualified by regulators to invest in public companies. Justify your answer.

Show Solution

Going from Public to Private

Public companies may also decide to go private. A “take-private” or “go-private” process involves investors acquiring all of the company’s publicly traded shares and delisting the company from the exchange. The investors must typically pay a premium above the current share price and often use debt to finance the acquisition. Go-private transactions are initiated by investors who believe that actions could be taken that would result in a higher valuation than that reflected in the current share price. Going private puts these investors in control and takes the company out of public view, which may be beneficial. These actions undertaken with greater private control might include management changes, selling assets, restructuring, or realizing cost savings that are expected to exceed the premium paid and financing costs. Once these actions are complete, investors may take the company public again several years later if they are able to achieve the desired valuation at that time.

Public versus private company trends can provide insight into market developments. For example, many emerging economies have a growing number of public companies, while the opposite is occurring in developed economies. Emerging economies are usually characterized by higher rates of growth, a transition to more open market structures, and foreign capital inflows. This is consistent with a growing number of listed companies on an emerging economy’s domestic stock exchange.

A declining number of listed public companies in developed markets is a result of several factors. One cause is a higher number of mergers and acquisitions, which reduces the number of independent listed companies. Another is the growing number of private capital sources available, such as venture capital and private equity, allowing companies to access needed capital while avoiding the additional cost, regulatory burden, public scrutiny, and compliance costs associated with a public listing. Another factor is that many private companies simply choose to remain private because it preserves control by incumbent owners and management.

The Varieties of Corporate Owners

Corporations offer a great deal of flexibility in ownership and objectives. As discussed earlier, shareholders include not only individual and institutional investors but also other corporations, governments, and non-profits, which may be controlling owners.

sovereign government may establish a wholly owned corporation but create a board of directors and management structure, along with compliance and reporting requirements, such as the issuance of audited financial statements. This structure provides increased transparency to taxpayers and external investors (limited to debt investors in this case) as to whether the corporation achieves its objectives and generates a profit or a loss, which must be financed from the government's budget. This structure is used by the United States Postal Service (USPS), while postal services in some countries, such as the Netherlands (KPN), the United Kingdom (Royal Mail), and Germany (Deutsche Post), are partly or fully investor owned.

Government-owned corporations exist in both developed and emerging economies, in some cases to supply public goods, such as infrastructure, which creates positive externalities, and in others to earn profits in a major domestic industry. For example, government-owned corporations are common in developed economies among postal systems, railways, and other infrastructure, such as airports. In emerging economies, state-owned or state-controlled enterprises often operate in a dominant domestic industry, such as basic commodities or energy. Financial intermediaries, such as banks, are also often first established as government institutions in these markets. As the economy seeks foreign and domestic capital from the private sector to expand and diversify, government companies are often gradually transferred to private sector ownership via an IPO, as in the following example.

EXAMPLE 7

Saudi Aramco IPO

Nearly 50 years after oil was first discovered in Saudi Arabia, the government issued a decree creating the Saudi Arabian Oil Company (Saudi Aramco) to take control of and carry out petroleum and natural gas production in the country. To partially finance a plan to diversify the Saudi economy and reduce reliance on oil, the Saudi government announced its intention in 2016 to raise up to $100 billion on global exchanges by selling a 5% stake in the company, valuing Saudi Aramco at $2 trillion. Given IPO delays and a lower, $1.7 trillion valuation, in 2019, the Saudi government opted to scale down its plans, selling a 1.5% stake on the domestic Saudi stock exchange for $25.6 billion instead. Despite the smaller size, this transaction was the largest IPO to date and created the world's most valuable publicly traded corporation at the time.

In other instances, industry deregulation and/or technological change is the catalyst for a shift from government to private sector

developed economies in the 1980s to many private sector corporations and varying degrees of government ownership today. This expanded access to capital has greatly enhanced the industry's ability to invest in rapidly evolving cellular technology. In the area of power generation, a similar shift from government to private sector has occurred, leading to greater diversification of energy production, as well as recently leading to investment in sustainable and renewable sources of energy, as in the case of Public Power Corporation S.A.

EXAMPLE 8

Public Power Corporation S.A.

The largest electric power company in Greece, Public Power Corporation (PPC), was established as a state-owned and -managed corporation by the Greek government in 1950. Following Greece's entry into the EU, PPC lost its domestic power generation monopoly. In response to the European Electricity Directive separating power generation, transmission, and distribution, the company issued an IPO in 2001 for 34% of its shares and reduced government ownership further, to 51%, through subsequent share raises over the next few years. The company is phasing out coal-fired power plants and shifting to renewable energy sources, and in 2021, it announced a further share capital increase of EUR750 million combined with a reduction in government ownership, from 51% to 34%.

Corporate shareholders also commonly include non-profits, such as foundations and endowments, some of which have grown to significant size. In addition to financial objectives, non-profits typically have societal and other non-financial responsibilities to their beneficiaries, as in the following example.

EXAMPLE 9

Novo Nordisk Foundation and Novo Nordisk A/S

The Denmark-based Novo Nordisk Foundation is the largest private foundation in the world. It has a dual objective: to provide a stable basis for the commercial and research activities conducted by investee companies within and to support scientific and humanitarian purposes. Through its holding company, Novo Holdings A/S, the foundation is the largest and controlling shareholder of the for-profit, listed Danish biopharmaceutical company Novo Nordisk A/S.

1. A corporate issuer has the following attributes: It has no need for new equity financing, its debt needs are well satisfied through its existing credit facility with a bank, and it has a majority owner that exercises management control of the company. Is this corporate issuer more likely public or private?

   A. Public
   B. Private

   Show Solution

2. Which of the following does *not* reflect a primary difference between an initial public offering (IPO) and a direct listing?

   A. Whether or not employees own shares in the private company
   B. Whether or not new capital is raised
   C. Whether or not an underwriter is used

   Show Solution

3. Describe two benefits of being a public company and two reasons that an issuer may instead prefer to be private company.

   Show Solution

4. Identify a major reason why a national government would be a 100% shareholder in a corporate issuer, and discuss two factors that may cause a national government to reduce its ownership in a state-owned company.

   Show Solution

5. A public company acquires a private company. Is the acquired company public or private after the acquisition? Explain the rationale for your choice.

   A. Public
   B. Private

   Show Solution

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